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China/Hong Kong Monthly Wrap

July 2026: Divergence converges as AI crowding unwinds

July marked a sharp narrowing in the AI vs. non-AI performance gap as crowded AI positions unwound and capital rotated into laggards. MSCI China / MSCI HK / HSI advanced 8.6% / 10.9% / 13.1%, while the AI tech-heavy CSI300 / ChiNext / STAR50 corrected 7.4% / 22.6% / 25.5% in USD terms. After an extended period of outperformance, global AI stocks came under pressure as investors intensified scrutiny of AI monetization timelines, hyperscalers FCF generation, AI capex sustainability, and financing conditions, as reflected in a sharp widening of CDS spreads. The resulting de-risking quickly spilled into China's tech space, where elevated valuations and crowded positioning left AI beneficiaries particularly vulnerable. The unwind was further amplified by concerns over a tighter global liquidity outlook amid renewed Middle East tensions. As capital rotated out of AI winners, traditional cyclical and defensive sectors staged a meaningful recovery, led by Consumer, Financials, and Real Estate. This rotation was consistent with our early-July calls on both [China](#) and [Hong Kong](#) equities. Looking into August, we expect the [AI trade](#) to reassert leadership, as the de-leveraging has largely run its course: (1) A-share margin buy as % of total market turnover has mean reverted from an interim high of +1.7SD vs. 10yr mean; (2) in [Korea](#), JPM estimates the leveraged ETF unwind is complete and hedge funds are ~90% through deleveraging; and (3) [globally](#), JPM finds that this round of deleveraging has advanced faster than anticipated, leaving limited room for further forced selling.

Macro: 1) [July Politburo Meeting](#) focused on fiscal execution and selective, incremental policy support, with policymakers pledging greater counter-cyclical measures amid growth headwinds. By industry, the emphasis remained on AI, advanced manufacturing, and national-security-related investment over broad-based demand stimulus. 2) [June domestic activity](#) showed modest stabilization in production but continued weakness across credit, fixed asset investment, and retail sales. New loan creation was at 1,610bn yuan (consensus: 1,950bn) marking the weakest June reading since 2021. By contrast, exports remained resilient and continued to cushion activity, with gains concentrated in high-tech, electronics, and trade-linked output. 3) [US-China](#) saw constructive development as both sides confirmed work on a US\$30bn reciprocal tariff reduction package, and the US did not renew the HK normalization order expired on July 14. Meanwhile, the US banned the import of foreign-produced advanced robotics on July 14.

Valuation & consensus estimates: By month-end, MXCN traded at 10.7x FTM P/E (-0.5SD vs 10-yr mean), with IBES consensus estimating 13%/15% EPS growth y-y for 2026/27. MXHK traded at 14.4x P/E (-0.1SD vs 10-yr mean) with IBES consensus estimating 17%/5% EPS growth y-y for 2026/27.

- **MXCN: Return leadership reshuffled; cyclicals and defensives outperformed.** The top-performing MXCN sectors were Consumer Discretionary (+21.8%), Consumer Staples (14.2%) and Financials (12.3%), while IT (-18.4%), Industrials (1.9%), and Comm. Services (8.7%) lagged the most. **Consumer Discretionary and Staples**, as the 1H26 laggards, benefited from the AI de-risking given light positioning, depressed valuations and policy expectations ahead of the Politburo meeting. [TAL](#) (+31%) was supported by the earning beat on K9 tutoring engine. **Financials:** Banks and insurance were

Equity Macro Research

Tim Huang ^{AC}

(852) 2800-4323

tim.huang@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Erin Zhang, CFA

(86-21) 6106 6328

erin.zhang@jpmorgan.com

SAC Registration Number: S1730521090002

J.P. Morgan Securities (China) Company Limited

Rajiv Batra

(65) 6882-8151

rajiv.j.batra@jpmorgan.com

J.P. Morgan Securities Singapore Private Limited

Greater China Economics

Feng Zhu

(852) 2800 1745

feng.zhu@jpmorgan.com

JPMorgan Chase Bank, N.A., Hong Kong Branch

Hong Kong Equity Research

Karen Li, CFA

(852) 2800-8589

karen.yy.li@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

avored on operational stability amid volatile market conditions. By contrast, **the IT correction** was mainly concentrated in AI-adjacent hardware, including optics (Hengtong: -56%), memory (GigaDevice: -54%), and PCB (Shenghong: -45%).

- **MXHK outperformed as the conventional cyclical proxy.** Within MXHK, all sectors posted positive returns. Top-performing sectors were Discretionary (+15.0%), Communication Services (+13.8%) and Financials (+12.9%). **1) HK property:** JPM's Karl Chan forecasts HK home prices to rise 10-15% in 2026. The YTD rebound of 11% has been stronger than expected and may soften in 2H26, in addition to the two policy overhangs (capital outflow control & Fed rate hike). Implied inventory months (based on 12M rolling sales) were healthy at ~9 months (4Q25: 10.9M), the lowest level since 4Q21. The secondary home price edged down -0.5%m-m in July. **2) HK banks:** JPM sees margin tailwinds from more hawkish expectations for Fed interest rate policy and better-than-expected recovery in loan growth supported by trade finance. **3) HK retail sales** remained robust in May, rising 0.7%/1.3%m-m in volume/value. **4) MXHK's FTM EPS** has risen by 4.5% YTD, with consensus 2026 EPS growth calling for 17% y-y. **2026 outlook:** Our base case end-2026 target for MXHK stands at 16,500, representing 11% potential upside. **Top picks:** We consider SHKP to be the best proxy for the HK housing market, with earnings growth likely to be revised up to MSD% amid the housing market upcycle. We think Tectronic offers AI-adjacent upside optionality and resilient US demand ([link](#)).

Figure 1: Indices and sectors' USD returns over the past month (%)

Benchmarks		MXCN sectors		MXHK sectors	
MSCI China	8.6	Consumer Discretionary	21.8	Consumer Discretionary	15.0
MSCI HK	10.9	Consumer Staples	14.2	Communication Services	13.8
HSI	13.1	Financials	12.3	Financials	12.9
HSTECH	8.0	Real Estate	12.1	Real Estate	10.3
HSCEI	14.0	Energy	11.9	Industrials	9.2
CSI300	(7.4)	Utilities	10.5	Utilities	6.0
CSI500	(16.6)	Health Care	9.7	Consumer Staples	1.9
CSI1000	(19.3)	Materials	9.0		
ChiNext	(22.6)	Communication Services	8.7		
STAR50	(25.5)	Industrials	1.9		
		Information Technology	(18.4)		

Source: Bloomberg Finance L.P., J.P. Morgan. Note: Past performance is not an indicator of future results

JPM's China & Hong Kong QMIs

Based on the framework of JPM's [Quantitative Macro Indicator](#) (QMI), we introduced the China and Hong Kong QMI to monitor innate macro strength. Figure 2 and Figure 4 exhibit the visible correlations between the QMI and MSCI China & HK y-y returns. Through the lens of the business cycle, HK QMI moved back to Expansion in May, while China eased to Slowdown.

Connect flows, turnover and short sales

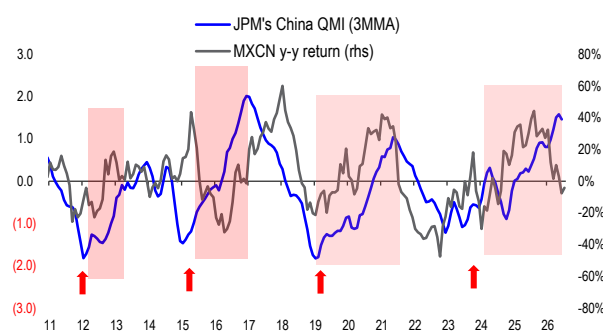
Stock Connect: Southbound recorded HK\$55bn inflows in July (vs HK\$27bn net inflows in June), accounting for ~21% of HK turnover (15% since 2023). SB's share of HK turnover rose from 6% in 2018 to 6%/9%/12%/12%/15%/18%/24% over 2019/2020/2021/2022/2023/2024/2025, respectively (Figure 8).

Ranked by the dollar amount of monthly SB net flows, Materials, Health Care, and Comm. Services were the top three, while Utilities, Staples, and Discretionary ranked bottom (Figure 9).

Daily average turnover of Hong Kong was HK\$307bn in July (June: HK\$319bn) vs A-shares at Rmb2,703bn (June: Rmb3,138bn).

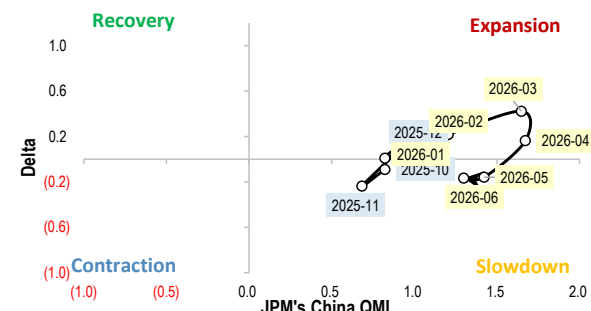
Equity short sale ratio was 17.1% in July vs. 16.5% in June (+1.0SD vs average of 14.6% since 2014).

Figure 2: JPM's China QMI vs. MXCN y-y return



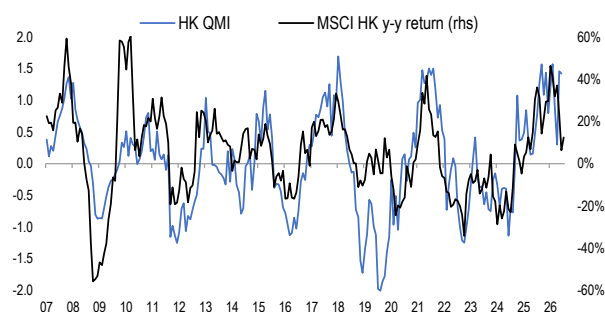
Source: Wind, J.P. Morgan

Figure 3: Monthly business cycle based on China QMI



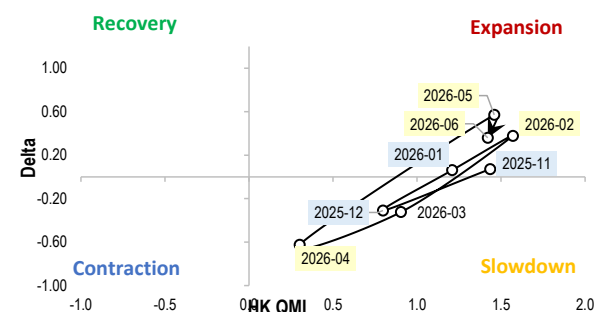
Source: Wind, J.P. Morgan

Figure 4: JPM's HK QMI vs MSCI HK y-y return



Source: Wind, J.P. Morgan.

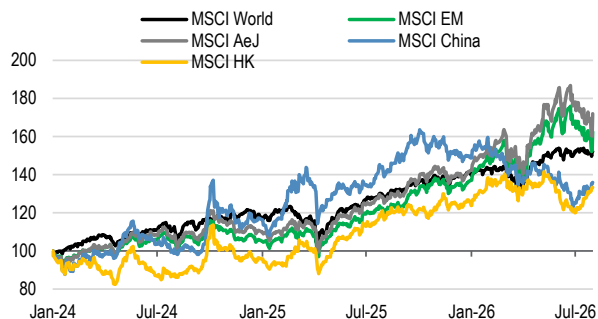
Figure 5: Monthly business cycle based on the HK QMI



Source: Wind, J.P. Morgan.

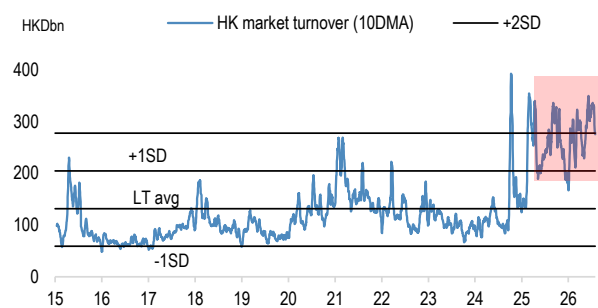
Figure 6: Indices' performance since 2024

1/1/2014=100



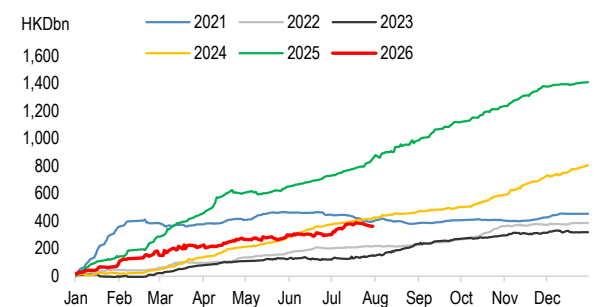
Source: Eikon, J.P. Morgan. Note: Past performance is not an indicator of future results

Figure 7: HK market turnover rose to historical upper range



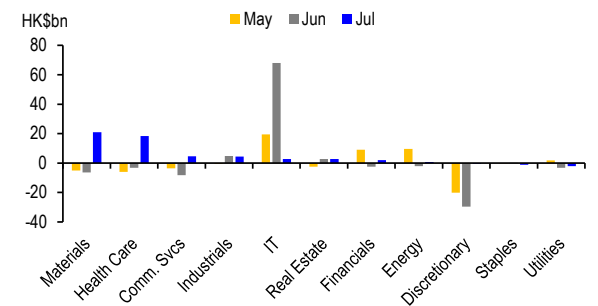
Source: MSCI, Wind, J.P. Morgan.

Figure 8: Southbound net inflow per year



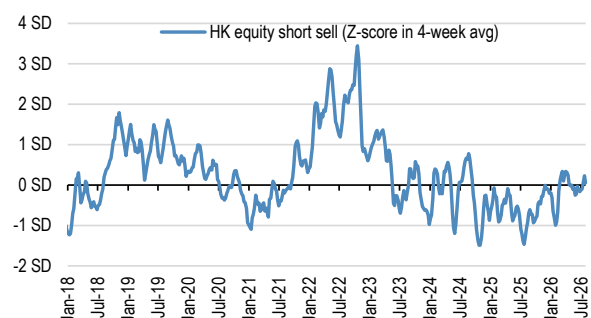
Source: Wind, J.P. Morgan

Figure 9: Southbound net inflows by sector



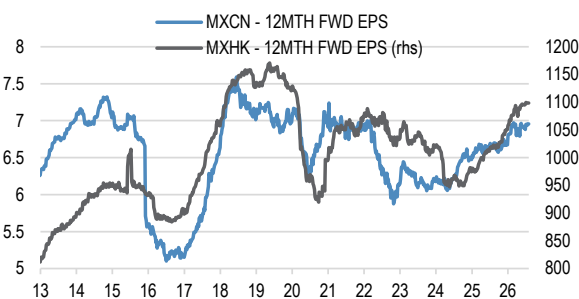
Source: Wind, J.P. Morgan.

Figure 10: HK equity short sell ratio



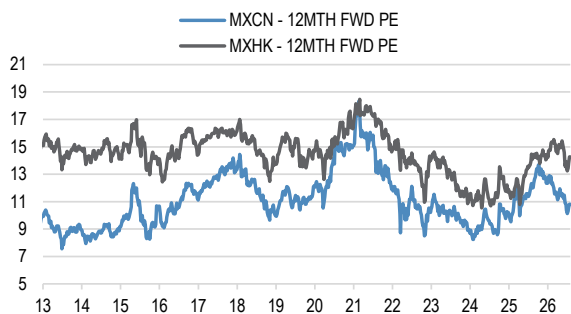
Source: Wind, J.P. Morgan

Figure 11: MSCI China and HK: 12M forward EPS



Source: IBES, J.P. Morgan.

Figure 12: MSCI China and HK: 12M forward P/E



Source: IBES, J.P. Morgan.

Hong Kong economic review

- **Exports** remained exceptionally strong in June, rising **53.4% y/y** (consensus: 43.8%). **Imports** increased **45.4% y/y** (consensus: 43.5%). Key drivers were continued strength in AI-related electronics demand and robust re-export activity across Asia and the US.
- **Unemployment** rate held steady at **3.7%** (consensus: 3.7%), despite external uncertainties. Continued gains in employment and a decline in the number of job seekers suggest domestic economic activity remains supportive, although the influx of new graduates may create modest near-term labour market pressure.
- **CPI** eased to **2.0% y/y** (consensus: 2.2%). Pressures were concentrated in utilities, transport and services, while declines in food and durable goods prices helped contain broader inflation, suggesting domestic inflation remains well anchored despite improving economic activity.
- **Retail sales** rebounded in May, with retail sales volume rising 0.7% month-on-month seasonally adjusted and annual growth reaching 4.8%. In value terms, sales gained 1.3% m/m sa and 7.9% y/y, reflecting continued price increases in line with CPI inflation momentum.

Figure 13: Hong Kong economic indicator forecasts

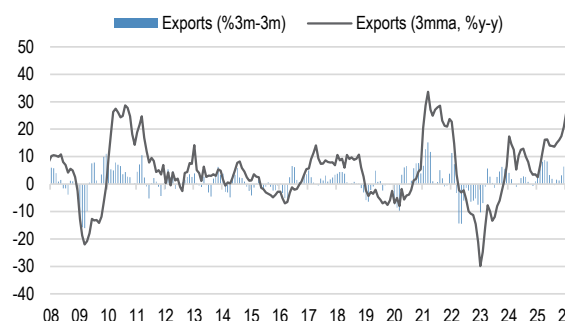
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Hong Kong: economic indicators					
	Average				
	2019-23	2024	2025	2026f	2027f
Real GDP, % change	-0.6	2.6	3.6	4.7	2.9
Consumption ¹	0.2	0.0	1.3	2.4	1.8
Investment ¹	-0.8	0.5	2.5	2.6	0.8
Net trade ¹	0.1	2.2	-0.2	-0.4	0.3
Consumer prices, %oya	1.7	1.7	1.4	1.6	1.6
% Dec/Dec	1.7	1.4	1.5	1.7	1.4
Government balance, % of GDP	-3.1	-1.8	0.1	0.6	0.2
Merchandise trade balance (US\$bn)	-7.8	-2.0	1.1	-1.6	-3.9
Exports	589.7	631.1	675.7	728.1	747.1
Imports	597.5	633.1	674.6	729.7	751.1
Current account balance	31.6	52.5	54.7	47.3	42.9
% of GDP	8.7	12.9	12.8	10.3	9.0
International reserves, (US\$ bn)	456	421	426	428	421

1. Contribution to growth of GDP.

Source: Hong Kong C&SD, J.P. Morgan forecasts.

Figure 14: Hong Kong exports as a key growth driver



Source: Hong Kong C&SD, J.P. Morgan.

Figure 15: HK retail sales in solid recovery

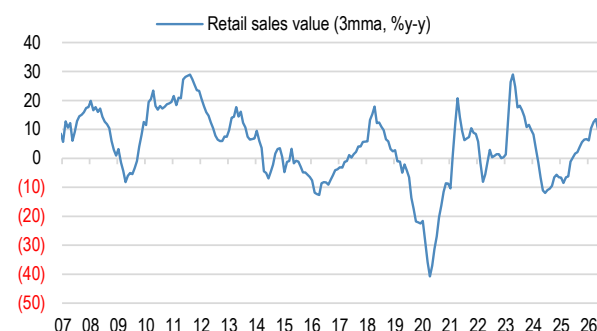
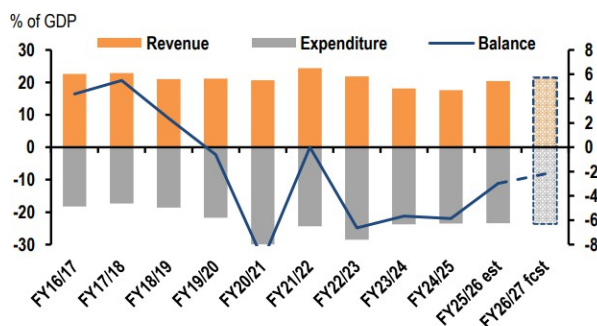
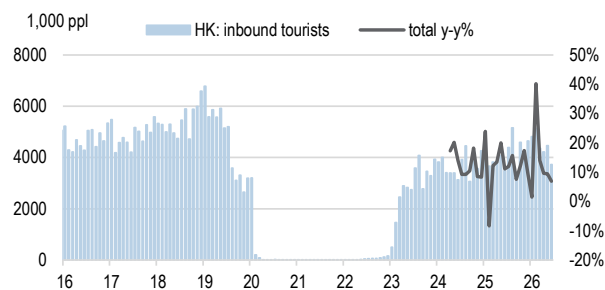


Figure 16: Hong Kong fiscal balance



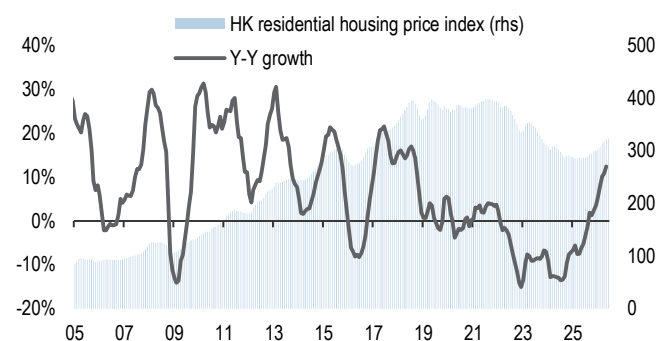
Source: HK Government, J.P. Morgan forecasts

Figure 17: Hong Kong's inbound tourists



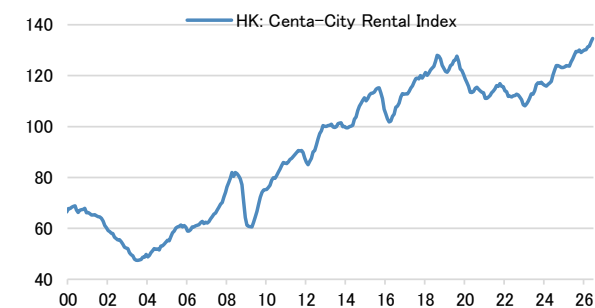
Source: Wind, J.P. Morgan.

Figure 18: HK residential housing price index



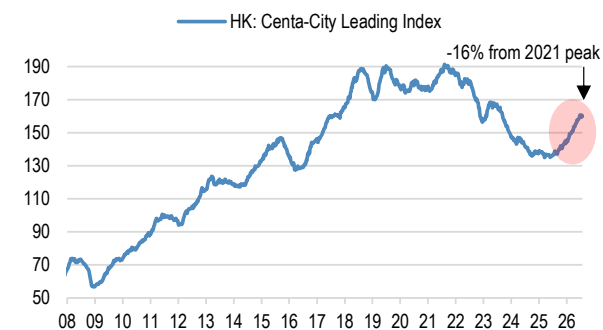
Source: Wind, J.P. Morgan.

Figure 19: HK: Centa-City Rental Index



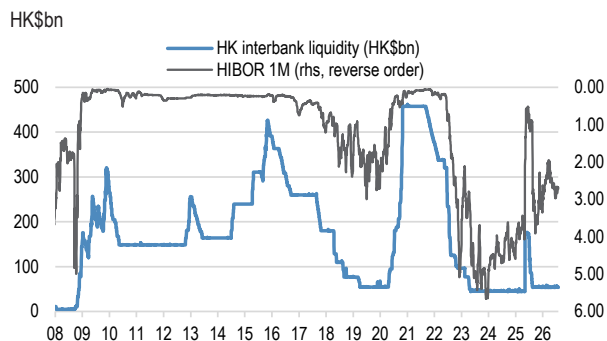
Source: Wind, J.P. Morgan.

Figure 20: HK secondary home prices (HK Centa-City Leading Index)



Source: Wind, J.P. Morgan.

Figure 21: Hong Kong's interbank liquidity balance



Source: Wind, J.P. Morgan.

Companies Discussed in This Report (all prices in this report as of market close on 31 July 2026, unless otherwise indicated)
Sun Hung Kai Properties (0016)(0016.HK/HK\$123.20/OW), Techtronic Industries (0669)(0669.HK/HK\$132.00/OW)

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Sun Hung Kai Properties (0016) (0016.HK, 16 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
24-Oct-23	N	81.50	80
29-Feb-24	N	78.00	72
30-Jul-24	N	69.90	68
06-Sep-24	N	75.15	70
01-Apr-25	N	73.90	73
15-Jul-25	N	89.40	92
21-Jan-26	N	110.20	109
22-Feb-26	OW	135.70	162
23-Jun-26	OW	113.60	140

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jan 16, 2000. All share prices are as of market close on the previous business day.

Techtronic Industries (0669) (0669.HK, 669 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
10-Aug-23	N	95.15	88
26-Oct-23	OW	70.35	80
15-Nov-23	OW	74.00	96
09-Jan-24	OW	85.15	107
07-Mar-24	OW	92.25	120
09-Apr-24	OW	105.90	126
07-Aug-24	OW	91.55	135
05-Mar-25	OW	112.10	138
16-May-25	OW	91.60	126
14-Jul-25	OW	88.15	127
07-Aug-25	OW	95.20	129
30-Aug-25	OW	100.40	135
28-Nov-25	OW	90.00	136
25-Feb-26	OW	123.40	154
04-Mar-26	OW	123.50	162
06-May-26	OW	110.70	176
26-Jun-26	OW	128.40	179

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jan 25, 2006. All share prices are as of market close on the previous business day.

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